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Open Door to Iraq? U.S. Government Travel Restrictions and Requirements

BY EDWARD W. SAUER
(SQUIRE, SANDERS & DEMPSEY L.L.P.)

On July 16, the United States Department of State announced that it had lifted the restrictions on travel by U.S. passport holders to Iraq. Since February 2003, U.S. passport holders have not been permitted to enter Iraq (although many have done so) unless authorized by the Secretary of State or otherwise permitted to travel as a member of an exempt category (*e.g.*, journalists on assignment, aid workers, U.S. Government personnel). The State Department continues to "strongly warn" against traveling to Iraq because of the current unstable security situation. Nevertheless, travel to Iraq is again becoming possible, and the Coalition Provisional Authority (CPA) is taking steps to re-start air service, establish a framework for civilians transiting the Iraqi border, and provide for the legal status of non-Iraqis working in Iraq.

Re-Establishment of Air Service

Recent actions by the CPA may soon facilitate travel by air to Iraq. The CPA has shifted its emphasis from initial efforts to start air service at Baghdad to

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Despite Removal of U.S. Sanctions, Trade Barriers Remain

BY ERIKA MORPHY

When the U.S. suspended certain statutory provisions under the Iraq Sanctions Act this past May, many companies assumed that most regulatory and trade barriers were suspended as well. Simply put, they are wrong, say legal and other observers of the situation.

"The press focused attention on the embargo that was lifted, and more recently on the safety and political issues on the ground in Iraq," says Pillsbury Winthrop LLP partner Christopher Wall. The latter issues, to be sure, present significant barriers to companies interested in participating in the rebuilding of Iraq – whether as a subcontractor or independently through a Middle Eastern partner. "These are the major barriers right now," Wall says. "But because they take precedence in the coverage of Iraq, it is easy to overlook other, legal barriers."

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commencing commercial passenger operations at Basra, apparently because of security concerns expressed by airlines and the perception that Basra is more secure. Airlines were asked to advise the CPA by August 2, whether they were interested in service to Basra and to submit detailed operating plans. The target date for the commencement of service is August 26, although this will depend on progress in preparing the airport and resolving any remaining security problems. Some 30 airlines are expected to respond to the invitations to commence service, even though Basra cannot accommodate more than a very low level of service. Facilities at Basra are still very limited and in need of renovation, and it will likely be some time before traffic develops fully. In the meantime, an initial passenger charter flight, organized by a British firm and carrying relief and reconstruction workers, is currently scheduled for August 18.

Entry Permits and Other Border Control Regulations

Notwithstanding the lifting of the travel restrictions, a U.S. passport will not guarantee entry into Iraq. The CPA remains in control of the border, and has promulgated Order Number 16 to regulate the process of entry and related matters. Except for Iraqi citizens, those born in Iraq, CPA personnel (broadly defined) and officials of the United Nations and its affiliated agencies, all persons seeking entry must obtain a permit. Permits may be obtained from an Iraqi embassy or from CPA offices established inside Iraq for this purpose. In most cases this will mean that U.S. passport holders will arrive at the Iraqi border without an entry permit and will need to obtain one before proceeding into Iraq.

To obtain a permit a person must appear for examination by an authorized officer of the CPA, answer questions truthfully, and produce required documentation. Pursuant to Order Number 16, the application for a permit may be refused and the applicant denied entry if the CPA officer has reasonable grounds to believe that the applicant (a) has provided false information, (b) is suffering from a serious communicable disease or any health problem for which commercial health services are not available in Iraq, (c) will be unable or unwilling to support himself or herself and

any dependents, (d) is or was a member of a criminal organization, (e) will commit crimes or engage in criminal activity, (f) will engage in or has engaged in terrorism or is a member or a known or suspected terrorist or insurrectionist organization, (g) will engage in acts of violence that may endanger people in Iraq, or is a member of an organization that engages in such activity, (h) has committed war crimes or crimes against humanity, or (i) has previously been deported from or denied entry to Iraq by the CPA, or an international territory with border control formalities. Iraqi nationals may also be denied entry if the CPA officer determines that denial of entry is required by security or military necessity.

The Order gives authorized officers of the CPA authority, without a warrant, to search any person seeking to enter Iraq. Authorized officers are also empowered, without a warrant, to search any vehicle, luggage or personal effects of any person seeking entry into Iraq, and to seize all undeclared goods and goods that may pose a threat to the peace, security, health, environment or good order of Iraq or any antiquities or cultural items suspected of being illegally exported.

Permits may be revoked if issued in contravention of the Order or other applicable law, or if the circumstances that formed the basis for approval of the permit no longer exist, or if the presence of the permit holder is or would be a risk to the health, safety or good order of the Iraqi community. Permits may also contain terms and conditions which, if violated, are grounds for revocation of the permit and, potentially, deportation of the permit holder and confiscation of goods in his or her possession. Confiscation and deportation are also penalties for a variety of other offenses defined by the Order, generally related to the CPA's border control function.

Transportation companies that bring people to Iraq are required to ensure that each person they convey to Iraq has all the required travel documentation in his or her possession, to present each such person at the CPA checkpoint, and to prevent unauthorized exit from the transport vehicle. Under certain circumstances a transportation company may be required to re-transport its passenger who has been allowed or required to leave Iraq under Order Number 16. The company generally will be entitled to reimbursement of the cost of re-transportation unless the passenger came to Iraq without required travel documents or came to Iraq as or to become a member of a crew of any land-, air- or sea-going conveyance.

Squire, Sanders & Dempsey L.L.P. is an international law firm with offices in Europe, Asia and the Americas and a presence in Kuwait. Edward W. Sauer is a partner in the Washington, D.C. office of Squire Sanders. He specializes in transportation law.

The Order provides for an appeal process for denials of entry and other adverse actions, generally by written application to the Senior Advisor of the Ministry of the Interior and the Interim Minister of the Interior.

Legal Status of Non-Iraqis Working in Iraq

CPA Order Number 17 deals with the status of Coalition personnel, foreign liaison missions and personnel, and contractors and their personnel in respect of the CPA and Iraqi laws and courts. Coalition contractors and sub-contractors, and their employees not normally resident in Iraq, will not be subject to Iraqi laws or regulations in matters relating to the terms and conditions of their contracts with the CPA or Coalition Forces. Under the Order, contractors and sub-contractors not normally resident in Iraq are not subject to Iraqi laws and regulations on licensing and registration of employees, businesses and corporations in relation to those contracts. Such contractors and sub-contractors are also immune from Iraqi criminal, civil or administrative legal process with respect to acts performed by them within their official activities pursuant to those contracts and sub-contracts, and no Iraqi legal process may be commenced against them with respect to other acts or omissions without the written permission of the CPA Administrator.

These immunities may be waived by the applicable parent state, which in the case of Coalition contractors and sub-contractors is the parent state with which the contractor has contracted. Further, these immunities apply only to acts or omissions during the period of authority of the CPA.

Third-party claims, for personal injury, illness or death and for property loss or damage, arising from or attributed to Coalition personnel or persons employed by them are to be submitted to and dealt with by the parent state of those personnel or persons in a manner consistent with the laws of the parent state.

The recommencement of air service to Iraq and the CPA's recent Orders should mean that persons with business in Iraq – currently government contractors working on reconstruction, for the most part – will be able to enter Iraq, and will have reasonable assurance that they can carry on their work there within a predictable legal framework that looks to the legal regimes in their home countries.

••• ASK THE AUTHOR •••

Readers: If you have follow-up questions regarding this article, or requests for further information, email the editor at krosenblum@wtexec.com.

BearingPoint Contract to Include Broad Review of Iraq's Commercial Laws

BY KATHRYN ROSENBLUM

McLean, Virginia-based BearingPoint, Inc. was awarded a one-year contract on July 25 by the U.S. Agency for International Development to facilitate Iraq's "regional and international economic integration" and to stimulate trade, according to a USAID statement. The value of the contract is \$79 million for the first year, with the possibility of two one-year extensions.

The scope of the contract is far-reaching, including a comprehensive look at Iraq's private sector, commercial laws, fiscal policies and privatization of state-owned industries. To assist with this ambitious undertaking, BearingPoint has teamed up with a number of subcontractors, the largest of which is Washington-based Chemonics International. Other subs include the law firm Squire, Sanders & Dempsey, also based in D.C., and J.E. Austin Associates and The Services Group, both in Arlington, Virginia. As the project gets underway, additional firms may be tapped.

BearingPoint officials arrived in Iraq two days ago to meet with CPA officials and begin prioritizing the work contemplated under the contract, according to company spokesman John Schneidawind. Neither USAID or BearingPoint were able to say which areas will be tackled first. Ellen Yount, press director at USAID said that priorities will be developed over time and will have to take into consideration the limited amount of resources that were appropriated.

Yount also said that the CPA's recent solicitation of bids for mobile phone licenses and establishment of an Iraqi trade bank would continue as separate initiatives from the new contract.

Joe Markoski, a partner at Squire, Sanders will be closely involved with BearingPoint's review of commercial law in Iraq. "The first step in that process, as I envision it, would be to conduct a comprehensive legal audit of what's there. We would then look at that and compare it against the goals of the CPA, and against regional and international best practices, and make recommendations to achieve the CPA goals," he said.

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Markoski emphasizes the importance of involving Iraqis in the process. The buy-in of key Iraqi stakeholders — including interim government policy-makers as well as prominent business and professional figures — will be critical to the success of any recommended course of action, he said. “A big part of the contract is working with the Iraqis themselves and having them understand what the results of the audit

are — why these practices or laws don’t really comport with the economies which promote free enterprise or foreign direct investment.”

One unknown is the extent to which the CPA, in conjunction with an interim Iraqi ruling body, has the authority to implement fundamental changes to the country’s laws, or whether such action must wait for the establishment of an elected government.

Bremer Says Iraq Rebuilding Could Exceed \$100B

BY ALEX KETO

WASHINGTON (Dow Jones) — The reconstruction of Iraq and the rehabilitation of its economy could take more than \$100 billion, according Paul Bremer, the U.S. civilian administrator in that country.

Bremer said that if the Iraqis can dramatically boost their oil output from current levels, then they “should be able to fund a lot of this out of their own revenue.”

However, Bremer also cautioned that boosting oil production will take time, and, in the meantime, “we’re going to have to spend a lot more money than we’re going to get revenues.”

At the moment, Bremer said he expects Iraqi oil output to reach pre-war levels only by the end of 2004.

The problem the country faces, Bremer said, isn’t extensive damage from the brief war to topple Saddam Hussein but the damage Saddam inflicted on the country through mismanagement and the combined effects of sanctions that prevented new investment.

Bremer did offer some optimistic views on the guerrilla war that is inflicting a steady stream of casualties on U.S. troops.

“I think actually we are going to see a reduction in the violence in the months ahead,” Bremer said.

He backed up this assessment by saying coalition forces are focusing their intelligence-gathering efforts on the Iraqi insurgents and are capturing many of them.

The second encouraging sign, Bremer said, is that coalition forces will be using an increasing number of Iraqis in the fight. Bremer said coalition forces have finished recruiting the first battalion of a new Iraqi army and have begun recruiting for the 7,000 Iraqi civil defense force. This force will be operational in about 45 days, Bremer said.

On top of this, coalition troops have put 27,000 Iraqi police on the streets to help keep order.

Dawson Says IMF Actively Involved with Iraq

BY ELIZABETH PRICE

WASHINGTON (Dow Jones)—The International Monetary Fund said it is actively involved in rebuilding Iraq’s economy, work that hasn’t yet been hindered by the lack of a sovereign government there.

“It is not precluding us from doing the kind of institution-building work we are doing,” IMF Director of External Affairs Thomas Dawson told reporters last week in a regular briefing.

The IMF has sent several missions to Baghdad for work aimed at getting the central bank operating and to help develop a budget, Dawson said. There are some staff members stationed in Iraq almost continually, he added.

During a visit to Iraq last week, World Bank President James Wolfensohn questioned whether Iraq’s U.S.-appointed Governing Council has the legitimacy to receive international loans. “Clearly a constitution and an elected government would constitute a recognized government, but what do we do in the meantime?,” Wolfensohn said. “It is a subject that needs interpretation.”

At this stage, IMF or World Bank loans aren’t under immediate consideration, and the work of the two institutions is focused on technical assistance and needs assessments. The U.S. is organizing a donor conference to solicit new funds from other countries for rebuilding officials say should take place in early October.

The IMF is in regular contact with the provisional government, officials at the central bank, and potential donors, Dawson said.

The IMF’s presence in Iraq despite the absence of an officially elected government isn’t unique, Dawson said. The Fund worked in a similar situation in Afghanistan, and before that, in Bosnia, he said.

Iraq Ruling Council to Start Choosing Government

BY SELINA WILLIAMS

BAGHDAD (Dow Jones)—Iraq's U.S.-appointed Governing Council is to start work selecting 24 new cabinet ministers and hopes to have an interim government within a week, a senior council member told Dow Jones Newswires in an interview Monday.

Setting up an interim government is seen as crucial for work to begin on urgent issues such as restoring law and order and resuming constant supplies of power and water. It is also the first step for Iraq to get an internationally recognized government - the lack of which has prevented Iraq from attending meetings of groups like the Organization of Petroleum Exporting Countries, of which it is a founding member, and could also be delaying funding from multilateral lending organizations such as the World Bank.

"We hope to have a group of highly qualified and experienced technocrats to take over the ministries within a week," said Adnan Pachachi, one of the nine rotating presidents recently selected by the 25-member council. He is due to take his turn as president in January.

Pachachi, a foreign minister in the Iraqi government deposed by the Baath Party coup in 1968, said important posts at the oil, finance, interior and foreign ministries may be filled first.

"This idea has been floated around," he said.

The council expects to receive a list of candidates Tuesday and will be looking for the most experienced and qualified people to take up the posts, Pachachi said.

"We have all the politicians we need in the Governing Council, so we want technocrats with experience who can show us the way and give us a clear picture of what the priorities are for Iraq," he said.

Acting Ministers May Hold Posts

If technocrats are indeed selected, it could mean that most of the current acting ministers - including Thamer al-Ghadban at the Oil Ministry - will be confirmed in their positions. Ghadban, 57, a former director general of the ministry's planning department, has 30 years experience in the oil ministry in a variety of posts.

Colleagues in the ministry say that Ghadban, who earned a university degree in petroleum engineering in the U.K., is one of the best candidates for the job.

"Ghadban is a very capable man, and he's done wonderful things so far in the ministry, but it's difficult without having a government behind him," one senior oil ministry source said.

Since Ghadban took over the most senior position at the oil ministry, he has overseen the restart of Iraq's oil exports, now around 650,000-750,000 barrels a day, and the ramping up of output - now at 1.5 million barrels a day, compared with about 2.5 million barrels a day before the war.

The U.S.-led Coalition Provisional Authority set up the Governing Council on July 13 and tasked it with calling a constitutional conference and organizing elections shortly thereafter. But the CPA still retains a veto over the council's decisions.

"I don't anticipate a situation where they will veto our choices," Pachachi said. "I think they'll agree to what we want to do rather than the other way around."

'New' U.S. Allies Struggle to Fill Role

BY MARC CHAMPION

SZCZECIN, Poland (Dow Jones) — Next month, a force commanded by Poles and comprising Spaniards, Ukrainians, Bulgarians and others from 22 countries arrives to keep the peace in a swath of central Iraq. These are America's "new" allies. Iraq will be their proving ground.

Since the U.S. bust-up with Germany and France over the war in Iraq, U.S. officials have been talking up the military capabilities of countries they feel they can rely on to help counter global threats. The Poles have GROM, a special-forces unit of about 300. The Czechs have a chemical- and biological-weapons defense unit.

"NATO's center of gravity is shifting eastward," says Nicholas Burns, U.S. ambassador to the North Atlantic Treaty Organization. Poland, he says, is emerging as "one of the most powerful countries in NATO. It's an important watershed."

But finding countries willing to send troops to Iraq without a United Nations mandate is proving a tough test of how many of the "new" U.S. allies are willing to go where its traditional allies, the French and Germans, are not. It is taxing the military capabilities and

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financial depth of allies, such as Poland, that are willing to work in a U.S.-led coalition but lack the experience and financial muscle of "old Europe," as U.S. Defense Secretary Donald Rumsfeld now famously put it.

The problem for the U.S. is that while niche capabilities are sometimes useful, what is needed to stabilize places like Iraq is "manpower, manpower, manpower," says Charles Heyman, a former British Army major who edits *Jane's World Armies*, a specialist publication. The French and Germans have usable troops in numbers, he adds.

That is all the more important as violence continues to flare. Poland's zone is the quietest in Iraq, but with more than 40 U.S. and six British troops killed by hostile fire since Washington declared the war over on May 1, there are significant risks. Poland had to go to 22 countries to drum up a force of 9,000 troops for its zone, with 2,200 of them Polish and most of the rest from Spain and Ukraine. Latvia is contributing, but its entire armed forces number only 5,500.

Ambassador Burns agrees that the U.S.'s "most powerful military allies are in Western Europe." But as long as those allies don't want to send troops to serve under U.S. command in Iraq, the U.S. will struggle to draw down its force of just under 150,000 troops on the ground, say military analysts.

America's military is stretched thin. Twenty-four of the U.S. Army's 33 active-duty brigades are deployed around the globe. In addition, about 135,000 reservists and national guardsmen are deployed overseas. To meet demand, the army recently announced a troop-rotation schedule for Iraq and Afghanistan that will require the additional call-up of 10,000 U.S. National Guard soldiers to Iraq for one year. But that plan banks on substantial contributions from allies, especially in 2004.

India this month declined to send a division of 15,000 troops to Iraq without a U.N. mandate, as did Pakistan. Both countries have big militaries. The U.S. is discussing a possible deployment with Turkey. For now, that leaves the U.S. responsible for most of Iraq; a British-led zone in the south that will be increased by 5,500 troops from nine other countries next month; and the Polish zone, a slice through the center of Iraq measuring 70,000 square kilometers.

Strong Polish Support

There is little doubt about Poland's enthusiasm, and at 163,000, Poland's armed forces are relatively big. Poland is sending three freighters to Kuwait with

708 trucks; 10 helicopters; 712 sea containers of equipment and food; and thousands of other pieces of equipment. By recent U.S. standards, it isn't a lot, but it is the biggest logistical operation that Poland's military has undertaken since World War II, says Brig. Gen. Marek Samarcew.

Demonstrating their skills on a recent day at the base of the 12th Mechanized Division in Szczecin, in Poland's northwest corner, Polish troops heading for Iraq were decked out in new desert uniforms and boots. Officers said the uniforms had been issued with new night-vision equipment, and U.S. officers had come from Iraq to brief the Polish troops on what to expect and how to operate.

"We're ready, we've been training for this kind of mission for three years," says Maj. Zenon Szczybylo, 37 years old, who will command a battalion of Polish, Lithuanian and Latvian troops. Gen. Samarcew says he and his men are especially happy to be stationed between U.S. and British troops. "We have a very big history with these two countries; we've fought with both as allies," he says. Historically, Poland has been sandwiched between enemies — Germany and Russia.

Poland can't afford to send many more troops to Iraq. Half of Poland's armed forces are conscripts. To operate in a multinational force, experts say, troops should be professionals, trained to NATO operating standards and led by officers who speak English. Poland doesn't have many of these kinds of troops, though it has pledged to reduce conscription and have one-third of its troops NATO-trained by 2008.

Although Poland will be leading the multinational operation, a first for the country, the U.S. is heavily involved in the background, making sure things go as planned.

Poland is sending its own vehicles, which have been adapted for hot weather, but Maj. Dariusz Faszczka says it will be their first test in extreme desert conditions. Some may not work, and there aren't enough. So the U.S. and Britain have offered to lend hundreds of more vehicles to the Polish-zone troops.

The U.S. is providing communications software, airlifting the Polish troops to Kuwait and helping with transport, Polish officials say. NATO is providing a headquarters for the force.

Philip Shishkin in Brussels and Greg Jaffe in Washington contributed to this article.

Financial Groups Flock to Manage Iraqi Trade Bank

BY MICHAEL SCHROEDER

WASHINGTON (Dow Jones)— U.S. officials are expecting at least two dozen bidders to apply to manage the new Trade Bank of Iraq, which would offer banks a lucrative entree into the massive rebuilding of Iraq's tattered economy.

"We're getting a lot of calls," said Peter McPherson, the top U.S. Treasury Department adviser in Baghdad, Iraq. "We'll have many, many banks apply," he said, primarily because of Iraq's oil resources.

Awarding the trade-bank contract poses some touchy political problems as the Treasury weighs bids from banks world-wide. U.S. officials have said they are looking for a broad international consortium that includes a Middle Eastern bank.

But as financial institutions jockey to form consortia, bankers say they also worry about the possible liability of having a partner from a nation that opposed the Iraq war, including France or Germany. The U.S. has made efforts to patch differences with Germany, but relations with France remain strained.

"We're looking for who can provide the best proposal," Mr. McPherson said.

Bankers say they expect a U.S. bank to be a lead member of the winning consortium. Wachovia Corp. is among the U.S. banks that confirm plans to ap-

ply; other applicants include Bank of America Corp., Citigroup Inc., J.P. Morgan Chase & Co. and Bank One Corp., according to people close to the application process.

Before the U.S.-led coalition's invasion of Iraq, French banks were the most active foreign financiers in Iraq. While BNP Paribas SA had been managing the United Nations food-for-oil program there, a spokesman for the French bank said it "hasn't publicly expressed an interest" in the trade-bank contract, but is "willing to be of assistance."

So far, Wachovia is the only known applicant to join forces with a French bank — Societe Generale SA. "We clearly see this as an economic, not a political, event," said Steven Bash, managing director in Wachovia's global financial-institutions division.

Separately, the Coalition Provisional Authority in charge of Iraq plans to seek preliminary proposals from consultants and financial institutions interested in modernizing and managing that nation's two largest state-run banks, Rafidain Bank and Rasheed Bank. "The aim is to help both banks to restructure in order to become commercially viable entities that are able to operate successfully within a market economy," Mr. McPherson said.

US Exim Bank Considers Ways to Help Trade Bank

BY JEFF BATER

WASHINGTON (Dow Jones)— The U.S. Export-Import Bank last week discussed ways to provide support for the Trade Bank of Iraq.

In a telephone conference for trade finance lenders and other interested parties, the Ex-Im Bank took up the issue of short-term insurance products and how they could be of help to the Iraqi trade bank. Peter Saba, acting chief operating officer of the Ex-Im Bank, discussed letter-of-credit insurance policies to commercial banks.

The U.S.-led authority ruling Iraq last week announced plans for an Iraqi trade bank which would allow that country's ministries and oil concerns to make large purchases abroad.

The trade bank, to be run by a mix of international banks, would issue letters of credit on behalf of Iraqi government agencies and affiliates looking to buy heavy equipment and other goods abroad.



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Trade and Finance

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Such legal barriers range from sanctions that do still exist — Wall says they are being dismantled in bits and pieces — to complex rules about export licenses, to the still murky area of which civil code actually applies in Iraq.

Deemed Export Controls

For the most part, these issues are barriers in theory only as most companies that are interested in Iraq have yet to set foot in the country. “There is a lot of interest, yes, but most companies are still weighing the options, looking for opportunities and waiting to see how things will turn out,” says Jason Matechak, a partner with Reed Smith. But in the course of investigating market opportunities — even on U.S. soil — some companies can run afoul of U.S. law, depending on what service or product they wish to export or establish in Iraq.

This law, called the Deemed Export Rule, basically requires an export license for certain employees or even potential partners, Matechak explains. “Some companies are deciding they don’t want to deal with the heat and security and lack of facilities in Iraq just yet but are exploring their trade options stateside or perhaps in Europe or Canada.” More than likely they are speaking with Iraqi expatriates about market potential when they do so — and herein is the danger: “if you can’t ship a particular item or technology to Iraq without a license, then you can’t talk about that item or technology to an Iraqi national without a license,” Matechak says. “This is an easy due diligence issue to overlook.”

Indeed this issue trips up multinationals accustomed to doing business in multiple markets, says Allen Green, partner with McKenna Long & Aldridge, who is currently representing a global company that inadvertently violated this U.S. law. “This is a growing problem for multinationals these days and not just those interested in Iraq. Business is becoming increasingly globalized as are workforces and export control rules are still very complex.”

However in Iraq this problem is more than likely to come up as U.S. firms scramble for local contacts. Indeed the major contractors such as Bechtel have all but said their preference is for subcontractors with Iraqi ties. “Bechtel has made it very clear that their overarching objective is to demonstrate to the Iraqis they would be part of the rebuilding,” says William

Goodrich, Jr., a contracts lawyer at Arent Fox Kintner Ploktin & Kahn PLLC.

Basically any company whose employee or representative is not a citizen or national of the U.S. and does not have permanent resident alien status, needs to get prior government approval before technical data can be released to him or her, Matechak explains. Such approval, which can involve the Commerce, State and Defense Departments, and even the CIA, is usually an arduous process, but recently companies have found the delays are longer than usual, according to Reed Smith.

Getting Paid

Besides the general U.S. export control apparatus, there are sanctions and other laws particular to Iraq that U.S. companies must follow, which can complicate on-the-ground activities.

Pillsbury Winthrop’s Wall notes that in May the Office of Foreign Asset Control issued four general licenses for U.S. firms to do business in Iraq specific to reconstruction and humanitarian aid, one of which authorizes contractors and subcontractors to engage in financial transactions. Yet many, if not most, of the Iraqi banks remain on a nationals watch list for Iraq, which means U.S. firms — and that includes U.S. financial institutions — cannot do business with them. “Not having correspondent banking relationships is a problem for U.S. financial institutions,” he says, not to mention the fact they cannot trade in Iraqi debt or commercial paper in international capital markets.

“Personally, I think this particular interpretation of the law is subject to dispute — but that is the interpretation the markets and institutions are making for now,” Wall says.

Slowly the U.S. government is beginning to address some of these issues though. The U.S. Treasury Department’s proposal to establish an Iraqi Trade Bank, for example, will alleviate some of the uncertainty, says Robert Kyle, partner in the Washington, D.C., office of Hogan & Hartson L.L.P., and a member of the firm’s International Trade and Legislative Groups. (*See related articles on p. 7*)

Many expect the bank, once it is established, to facilitate — or better put, restart — trade flows between Iraq and the rest of the world. “This is one of the reasons why the U.S. Treasury proposed the bank,” Kyle said. “Right now, most Iraqi banks are not able to issue letters of credit, which of course most companies would want when doing business there.”

Erika Morphy is a business and financial writer based in Washington, D.C. and a regular contributor to *Iraq Reconstruction Report*.

Whose Code?

There have also been ambiguities in local ordinances in Iraq, but here too the situation is beginning to clear a little, reports Andrea Elliott, senior foreign attorney and practice leader for Global Visa Solutions, which coordinates the procurement of foreign work permits and visas to more than 100 countries including, lately, Iraq. For example, the Coalition Provisional Authority recently mandated that international law would replace Iraqi's civil code as regards the work activities of contractors and subcontractors. (*See related article on p.1*)

Also, at the end of June, the CPA clarified the status of contractors and civilian personnel working on reconstruction, another area that had been very confusing for firms headed for Iraq, she says. "Basically it has been mandated that they do not need a work visa or permit to move in and out of the country — it's in fact a fairly significant decision." Given all the other ambiguities, it is certainly a start.

World Bank Spells Out Iraqi Lending Criteria

BY SELINA WILLIAMS

BAGHDAD (Dow Jones)—The World Bank must decide what constitutes a legally recognized government before it can lend money to Iraq, World Bank head James Wolfensohn said last week.

"Clearly a constitution and an elected government would constitute a recognized government, but what do we do in the meantime?" he told a news conference. "It's a subject that needs interpretation."

Wolfensohn, who was in Baghdad to discuss the World Bank's lending role as Iraq reconstructs, met with members of the U.S.-appointed Governing Council.

The council, set up July 13, elected a nine-member rotating presidency after members were unable to agree on a single leader.

It also has to forge a new constitution, leading to a general election, but that's at least 12 months away.

Wolfensohn said it was too early to say how much the World Bank would lend Iraq as it was still unclear how much could come from private investment. But he said it would likely be a "substantial" amount. "We hope that by September we can say how much," he said.

Iraq's \$88 million debt to the World Bank would also need to be cleared up before any further lending could take place, he said.

CPA Seeks Proposals to Manage Iraqi Commercial Banks

On July 31, the Coalition Provisional Authority issued a Request for Information (RFI), inviting proposals for assisting in managing Iraq's two largest commercial banks — Rafidain Bank and Rasheed Bank. According to a CPA statement, the aim is to help both banks to restructure in order to become commercially viable entities able to operate successfully within a market economy.

Under Iraq's previous regime, Rafidain and Rasheed banks operated under the direct control of the country's political leadership, extending resources to public enterprises and supporting projects favored by Baath Party officials. "Despite many well-trained and highly-capable staff, the banks' international isolation, and the level of government control over them, have undermined their technical capacity to operate based on sound credit policies, while their asset/liability management practices has been significantly weakened," the statement says.

The Request for Information seeks expert views from global financial and management entities interested in helping to manage the Rafidain and Rasheed banks through management contracts. The RFI is specifically directed toward institutions with sufficient size and strength to undertake these contracts themselves. Expressions of interest will be evaluated by the CPA and the Governing Council.

Among the issues to be addressed in the RFI are: the development of a new business strategy for each bank; the prioritization of key reforms needed; creation of a "good bank/bad bank" structure at each bank; methods to encourage small and medium-enterprise lending, and the development of new bank lending and borrowing instruments suitable to Iraq's economy.

— K.R.

The Benefits of the New Iraqi Dinar

BY BRAD SETSER
(COUNCIL ON FOREIGN RELATIONS)

The Coalition's decision to print a fresh batch of Saddam dinar notes this June drove home the urgent need to select the currency and monetary institutions for post-Saddam Iraq. The decision to introduce a new dinar rather than to dollarize or create a currency board was the right one.¹

The immediate advantages of introducing new dinars are clear. Saddam's face won't be on them. Moreover, the "Saddam" dinar only comes into two sizes. The 10,000 dinar note (worth a bit more than five dollars) is tainted by rumors of counterfeiting and is too large for everyday transactions.² In contrast, the 250 dinar note (worth between a dime and a quarter) has not only continued to circulate, it has also appreciated in value relative to both the dollar and the 10,000 note. There is simply no practical alternative to small dinar notes in an economy where many people live on less than a dollar a day. With many payments being made in dollars, more dollars were chasing the same set of dinars. But even in an economy where \$50 a month is a good salary, it is not terribly practical to pay salaries in dimes and quarters. New bills in a wider range of denominations should make day to day life in Iraq easier.

The long-term advantages of a new currency backed by a respected central bank are potentially even more important. The Saddam dinar was never a viable candidate for Iraq's future currency. The only real question was how quickly it would be replaced, and with what. But there were a range of possible replacements other than a new currency and an independent central bank. The Saddam dinar could have been replaced with the dollar, the pound or the euro or a new dinar that was permanently tied to the dollar (or another anchor currency) through a currency board. A currency board effectively would put an Iraqi face on the dollar while locking Iraq's into following the U.S. monetary policy. In a currency board, monetary policy is committed solely toward the maintenance of a fixed parity between the local currency and the anchor currency. Dollarization requires the immediate commit-

ment to spend scarce funds to buy back existing dinar, and a currency board requires an equal commitment of reserves to back a new dinar.

Advantages Over Dollarization

However, there are good reasons to think that neither outright dollarization nor a currency board would be superior in the long-run to an independent Iraqi currency that can float against the dollar. Why? The simple answer is that it makes little sense for an economy that relies heavily on oil exports to adopt the currency of an oil importer. For example, tying Iraq's monetary policy to that of the United States is a problem when an oil supply shock drives up the world price for oil, slowing the economies of major oil importers while putting additional cash in the pockets of oil exporters. Right now the stagnant U.S. needs relatively low interest rates, while most oil producers are flush (Iraq excepted, given its limited current oil production) and need relatively high interest rates.

A currency that is tightly linked to the dollar would also make it harder for the government of Iraq to manage its dependence on oil revenues. The dollar revenue from oil sales is highly volatile, so the government would have trouble paying the same dollar salary when oil is at \$10 a barrel and when oil is at \$30 a barrel. Rather than matching expenses and revenues by paying dollar salaries that vary in line with global oil prices, it is far easier to pay salaries in a local currency and let the value of the local currency fluctuate against the dollar. Since the currency of commodity exporters tends to rise and fall with commodity prices, a fixed local currency salary has a smaller dollar value when oil prices are low (150,000 dinars might be worth \$100 when oil is high, but only say \$75 when oil is low), and this is exactly what the economy needs.

Managing Volatility

The difficulties volatility in oil revenues creates for the government are also found in the overall economy. If the currency is tied to the dollar, prices and wages need to be very flexible since the economy's dollar earnings will fluctuate in line with global oil prices. Wages have to fall when the oil price falls to avoid

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unemployment. One major oil exporter—Ecuador—has adopted the dollar, but that country's dollarization has yet to be tested by a period of low oil prices that requires domestic wages and prices to fall. Far better to look to the example provided by major commodity producers like Canada, Australia, Norway, Mexico and Russia who let their currencies float. Changes in the currency's external value help cushion against falls in local prices and wages when lower commodity prices require economic adjustment. There are other ways to smooth out volatility in oil export earnings, including putting money into an oil stabilization fund when prices are high to support the economy—and the currency—when oil prices are low. But a managed float that allows for some exchange rate flexibility could be part of a set of policies that helps Iraq manage the economic risks associated with oil dependence.

Immediate Concerns

In the near term, however, the focus is likely to be on the set of obstacles that need to be overcome to have a successful currency reform rather than on the long-term advantages of an independent currency. These include:

- Completing the proposed currency reform.

The exchange will run from mid October to mid December, with Saddam dinars exchanged at one to one for new dinars, and the Swiss dinars that circulate in the Kurdish north exchanged for 150 new dinars. The risk that this swap will fail are minimal. A government that pays salaries, collects taxes and buys goods in the new currency can directly influence the type of currency that people want to use. Moreover, the broader range of notes should flat out make the new dinar more useful than the Saddam dinar.

- Broadening the use of the dinar and reducing the use of dollars. After getting Saddam's face off the currency, the U.S. also should consider the advantages of taking George Washington's face off Iraq's daily commerce. Iraq would gain in the long-run if the dinar, not the dollar, is an accepted store of financial value and the unit of account in the financial system, not just the currency used for small everyday transactions. Paying government employees in dinar is a good place to start. Emerging economies can live with some informal dollarization, but heavy reliance on the dollar in the domestic financial system complicates economic management. For example, informal dollarization makes it difficult for the government to act as a lender

of last resort to the banking system and harder for exchange rate adjustment to help buffer against commodity shocks.

- Managing monetary policy. The new Iraqi government is unlikely to be in a position for some time to issue dinar debt that can be bought and sold to help regulate the money supply. Managing bank balances and buying and selling foreign currency will be the dominant monetary policy instruments for a while. And since most of the economy's hard currency earnings are coming from the sale of oil by the government, the transfer of frozen assets to the government and international aid, the state will play a much larger role in the foreign exchange market than is typical in advanced economies.

There are significant technical challenges associated with managing monetary policy in a financially underdeveloped economy. The U.S. should not skimp on technical assistance, nor should it hesitate to draw on the IMF and World Bank's on-the-ground experience in poor and underdeveloped economies. Above all, the United States should not look to an independent central bank to minimize the cost of reconstruction or to fill gaps in the budget. Even a floating currency needs substantial reserve backing and the new dinar won't hold its value if the central bank starts printing dinars to make up for a shortage of grant aid or oil revenue in the budget. It is impossible to build the foundation for financial stability on the cheap.

A stable currency alone won't create jobs for unemployed former soldiers, create jobs for employees of Iraqi businesses that cannot compete effectively with imports now that sanctions have been lifted, repair existing oil infrastructure or provide the \$100 billion plus in new investment that Iraq may need to return to its 1990 living standards. Yet a sound currency is a precondition for near term economic stabilization and, over time, the introduction of a new currency should help create the foundation for an economy that can use monetary policy as a buffer against the risks stemming from its inherent dependence on oil.

¹ This draws on a longer paper by Nouriel Roubini and Brad Setser, "Should Iraq Dollarize, Adopt a Currency Board or Let its Currency Float: A Policy Analysis" available at http://www.stern.nyu.edu/globalmacro/cur_policy/iraqcurrenregime.pdf

² Mark Gregory, "Meeting Iraq's Demand for Dinars", posted 30 June 2003 on www.bbc.co.uk

Vivendi's Monaco Telecom Mulls Bid On Iraqi Cell License

BY BENOIT FAUCON

PARIS (Dow Jones)— Monaco Telecom SA, Vivendi Universal SA's (V) telecommunications subsidiary in Monaco, is considering bidding for Iraqi mobile licenses that were tendered last week, Chief Executive Antoine Veran told Dow Jones Newswires.

In addition, sources have told Dow Jones Newswires that Orange SA (F.ORA), France Telecom SA's (FTE) mobile unit, and Vodafone Group PLC (VOD) have also showed some form of interest in the market by sending executives to the conference presenting the tender in Amman, Jordan, on July 31.

"We are definitely interested to bid" on the Iraqi licenses "though it's not sure it will be possible," Veran said.

The terms of the tender for the three two-year Iraqi regional licenses include a condition that says, "No government shall directly or indirectly own more than 5%" of companies bidding.

But Monaco Telecom is 45%-owned by the Monaco Principality, the remaining being 55% controlled by French media and telecoms company Vivendi. Vivendi has said it is planning to divest its stake.

But during the Amman conference, representatives of Iraq's U.S.-led Coalition Provisional Authority, or CPA, told attendees they were considering backtracking on this obligation, said one person familiar with the proceedings.

The person said the CPA could allow operators with more than 5% state ownership or could abrogate this prohibition. The authority couldn't be reached for confirmation.

The uncertainty over whether state ownership will be a criteria means many European and Middle Eastern operators aren't sure they will be able to compete.

A person close to Orange said the company had sent representatives to assist Mobilecom, the Jordanian cell-phone carrier in which it owns 35%. The source said Mobilecom was considering bidding for the Iraqi license.

An Orange spokesman said the French operator itself wouldn't join the tender, and that he wasn't aware

of Orange assisting Mobilecom. Mobilecom couldn't be reached.

Vodafone also sent people to the conference, said a source close to the event.

Outgoing Vodafone Chief Executive Chris Gent said the company wasn't planning to bid but later a spokesman said no decision had been taken. He wouldn't comment on the presence of the Vodafone executives at the event.

MTC-Vodafone, the Kuwaiti operator with which Vodafone has a brand licensing agreement but no stake, has said it would apply for the license.

Only two large companies in which no state has a stake, appear so far to have decided to bid. Telecom Italia Mobile SPA (I.TIM) has already expressed interest in the licenses, according to sources close to the Italian cellular operator.

Orascom Telecom (C.OTL) of Egypt and Batelco of Bahrain have also said they were planning to bid.

The licenses are also likely to attract the appetite of crisis-hit telecommunications equipment suppliers.

Veran said Monaco Telecom was holding discussions on the Iraqi project with equipment telecommunications makers Alcatel SA (ALA) of France and Lucent Technologies Inc (LU) of the U.S. and U.S. construction giant Bechtel (X.BTL).

Veran said the talks aimed at bringing the company as shareholders as well as technology partners in the Iraqi venture.

He said the contacts with Bechtel were occurring via Lucent. Lucent couldn't comment, while Alcatel said it was in touch with many operators planning to bid for the licenses but refused to provide specific details.

Bechtel didn't return calls.

Monaco Telecom already has experience with risky countries. It holds 35% of the Telecom Development Co. of Afghanistan, or TDCA, Afghanistan's second cellular carrier, which launched on July 9.

The Aga Khan Fund for Economic Development holds a 51% stake of TDCA, U.S. carrier MCI WorldCom Inc. (X.WCM) 9%, and Alcatel, 5%.

Cars and Cell Phones Flood Jordanian Port Bound For Iraq

BY AMY TEIBEL AND SELINA WILLIAMS

AQABA, Jordan (Dow Jones)—Every day for the past seven weeks, about 1,000 used cars have rolled off cargo ships from Europe and East Asia at the once-sleepy port of Aqaba. Headlights are dangling, fenders are smashed, hoods are misshapen and windows are broken.

If ever beauty was in the eyes of the beholder, then such is the case with these worn vehicles, bound as they are for Iraq, where a post-Saddam moratorium on customs duties has made them one of the hottest items around.

And there are other products flooding into the port to afford Iraqis a life in which mundane tasks like placing a phone call are no longer Sisyphean.

Most of the cars are headed for sale in Baghdad, where resident Emad Hussain says “cars are so cheap now that everyone can afford to buy them.” He just bought two more to add to the one he already owns.

“They are a symbol of the new freedom that we have to buy cars now that Saddam is gone,” Hussain said, “but basically they are very cheap and this is our chance to buy a car.”

At least 55,000 used automobiles have been unloaded at Aqaba since early June, packing sprawling lots at the port with Korean Daewoos and German Opels, a smattering of BMWs, Mercedes, Mazdas and Mitsubishiis, and the occasional Chrysler Saratoga.

Ten thousand more are on the way, including some on ships anchored offshore because there is no room to store them at the port, said Saud Soror, director general of the Aqaba Ports Corporation.

Iraqis are snatching up cars now because import duties are expected to be reintroduced later this year. When Saddam was calling the shots, import duties on cars topped 100%.

Now, Adel Al-Gurayry, owner of a large car dealership at one of Baghdad’s two main car markets, charges \$4,000 to \$6,000 for a South Korean car and \$10,000 to \$11,000 for a Toyota pickup.

With cars aplenty, a tank of gas costing about 50 cents and the only mass transport a few rundown old buses, Baghdad can now count gridlock as one of its many problems.

In Aqaba, where the ground for that gridlock is being laid, the Ports Corporation had to build a new lot off-site to accommodate the crush. The lot, which stores 10,000 to 12,000 cars, opened last week and is already full, said Soror, who jokingly referred to himself as “the owner of the world’s biggest used car lot.”

Ordinarily, the port handles 6,000 to 7,000 cars a month for the Jordan market, he said.

With the dirty cars comes dirty money. One businessman, asked whether the money being spent was looted from Iraqi banks, said it’s impossible to know, but that consecutive serial numbers on notes suggest it was.

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Deadline for Mobile Phone License Bids Extended

The Coalition Provisional Authority has extended the deadline for submission of bids for mobile phone licenses to August 21, 10:00 a.m. Iraq local time.

A revised bid format, and related documents, are available on the CPA website at:

http://www.cpa-iraq.org/ministries/mobile_phones.html.

The CPA will award up to three 24-month licenses, one each for the northern, central and southern regions. Each applicant is required to bid for at least two regions. The central region, which includes Baghdad, would service about 6.9 million people. The southern and northern regions have approximately 5.3 million and 4.4 million city residents, respectively.

Licensees will be expected to begin service within twenty days, and will be required to provide full national roaming service to their customers through agreements with the other licensees.

Applicants can propose the use of either GSM or CDMA technology. According to the CPA, the prime selection criteria will be “value for money and satisfying the needs of Iraq.” — K.R.

Foreign Investment

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"Looted money is used to buy everything," a Jordanian government official added.

The insatiable demand for cars is matched by the craving for satellite receivers and mobile phones. With Iraq's fixed-line network too unreliable, wireless communication provides many in Iraq with their only link to the outside world.

In the several weeks to June 15, around 45 containers holding almost 1 million cell phones arrived in Aqaba bound for Iraq, said Haitham Khalil, shipping supervisor at Maltrans Shipping Agencies Co. in Aqaba.

"On June 17th, you couldn't find one mobile or satellite receiver" in Amman because they were all sent to Iraq, Khalil said. Supplies in the Jordan capital have since been replenished, he said.

Thuraya, an Abu Dhabi-based satellite phone company, says the boom in business in Iraq could help it to turn a profit this year.

About 30% of its 154,000 subscribers are in Iraq. Chairman Mohammed Omran expects its total global subscriber base to reach 200,000 by the end of the year.

Indian Business Delegation Visits Iraq; Seeks Contracts

BY SHUMITA SHARMA

NEW DELHI (Dow Jones)—An Indian business delegation is visiting Iraq this week to secure contracts in the country's postwar reconstruction and boost bilateral trade, an official at a leading industry body said Monday.

"Some contracts made under the U.N. Oil for Food program had also been put on hold due to the war, so the delegation will try to make sure they are carried through," said D.P. Das, an official at the Federation of Indian Chambers of Commerce and Industry, or FICCI. "Private company officials will also try and increase trade between India and Iraq."

The delegation left for Jordan on Saturday and will go to Iraq Monday to meet officials, members of Iraq's industry houses and company executives, said Das.

The Indian government was an opponent of the U.S.-led attack on Iraq, and in April parliament passed a resolution deploring the attack on Iraq. The Indian Cabinet recently declined a request from the U.S. government to send peacekeeping troops to Iraq.

However, the government and industry groups such as FICCI have said they would like to participate in Iraq's reconstruction.

The 29-member FICCI delegation comprises officials from companies that provide agricultural products, chemicals, tires, health care, construction and power services.

Some of the well-known companies include a unit of tire maker Apollo Tyres Ltd. (P.APO), infrastructure company Flex Engineering Ltd. (P.FXE) and soon-to-be-privatized State Trading Corp. of India Ltd. (P.XER).

In a related report, the Press Trust of India quoted the delegation's head, Anil Agarwal, as saying the Indian businessmen will meet officials responsible for trade, oil, electricity and industry.

Some of the companies will also participate in a tender for supplying telecommunications hardware, which closes Aug. 15, he said.

"Members of the delegation will be meeting about 200 private Iraq companies," added Agarwal.

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Army Corps Says Restoring Iraqi Oil Output to Cost \$1.14B

BY ANDREW DOWELL

NEW YORK (Dow Jones)— Restoring Iraq's oil infrastructure to prewar production levels will cost \$1.14 billion and take nine months, according to a work plan released Tuesday by the U.S. Army Corps of Engineers.

Iraq's Ministry of Oil, the Army Corps and Halliburton (HAL) unit Kellogg Brown & Root - which drew up the work plan following four days of consultations in Baghdad in early July - concede the timetable is ambitious and could be disrupted by the looting and sabotage that have handicapped efforts to restart production and exports thus far.

"It was also clear that the MOO objective dates for the completion of the projects will be a challenge for the entire team," the plan said, referring to the Ministry of Oil.

"We should also note that additional sabotage, damage and looting have occurred since the reports have been completed," the plan said. "The attacks continue to lengthen the time required and increase the cost to restore production capacity."

The plan schedules some 220 projects or items to be procured in three phases, the last of which is to end March 31. Before the war, Iraq was producing about 2.5 million barrels a day of oil, some 3% of total world supply.

The Army Corps published the work plan on its Web site along with other information regarding two new contracts to repair Iraqi oil infrastructure. The Army Corps is seeking bids on the contracts, valued at \$500,000 to \$500 million each, to replace a controversial no-bid contract awarded to KBR at the outset of the war.

Interest in the contracts is high, said John Rodgers, a contracting officer with the Army Corps in Fort Worth, Texas. "I think there's been a lot of interest," he said.

Bids are due Aug. 14. The Army Corps hopes to narrow applicants to a short list by mid-September, with a final award announced in mid-October and work beginning the following month.

The Baghdad work plan calls for spending \$320 million on oil infrastructure in the north and \$332 mil-

lion in the south. Funds also will be used to repair natural gas infrastructure and refineries.

Thamer al-Ghadban, chief executive of the Ministry of Oil, has asserted the ministry is "the final authority for the planning and execution of the restoration projects in Iraq," according to the work plan.

According to the plan, operating companies under the Ministry of Oil will be responsible for most of the engineering and construction work to be funded by the Army Corps, while KBR mainly handles procurement. KBR will handle some engineering projects and consult on others, the plan says.

It appears, though, that the majority of the work by dollar value will be run through KBR, according to documents posted by the Army Corps (although the firm is to hand off to the winning bidders on the new contracts later this year).

KBR is slated to handle \$630 million worth of procurement and \$320 million worth of project work, according to a spreadsheet posted by the Army Corps. By comparison, local procurement and project work by the Ministry of Oil together come to \$193 million, according to the spreadsheet.

KBR is directed to maximize Iraqi involvement and will "embed" ministry personnel in its engineering, project control, procurement and design teams, according to the document. KBR should initially handle procurement from Kuwait City, the work plan says.

The Army Corps will oversee funding issues and project engineering, the plan says.

As reported, industry sources said Sunday that Iraq has managed to boost output to 1.5 million barrels a day as a steady flow of exports from the giant southern oilfields around Basra has helped de-bottle-neck production.

Increased security around the southern Iraqi oil fields of Rumeila and Zubair have helped prevent the continued looting of electricity cables that had hindered an increase in production immediately following the war. But the system still remains vulnerable to power cuts and will continue to be so until back-up generators are installed in key facilities.

Coalition Says Carroll Remains in Post as Oil Adviser

BY CHIP CUMMINS

BAGHDAD (Dow Jones)—The senior U.S. adviser to the Iraqi Oil Ministry, Philip J. Carroll, intends to remain in his post, according to a spokeswoman for occupation authorities in Baghdad.

The Oil Daily, an oil-industry trade publication, reported today on its web site that Carroll had stepped down. A senior spokeswoman for the Coalition Provisional Authority in Baghdad denied the report.

Carroll, who has been in Baghdad in recent weeks but has spent much of his time in London since assuming the post, had planned to leave the Iraqi capitol by the end of this month. But he said in a recent interview that he could advise the ministry from London. He said he plans to continue to visit Baghdad periodically.

The U.S. appointed Carroll senior U.S. adviser to the Oil Ministry shortly after the U.S.-led coalition deposed Saddam Hussein.

Additionally, he serves as the chairman of an advisory board which works alongside the Oil Ministry during the post-conflict reconstruction of the nation's petroleum industry, which has been off to a slow start, amid widespread looting and technical hurdles.

CNPC May Visit Iraq in August to Revive Oilfield Project

BY XU YIHE

SINGAPORE (Dow Jones)—China National Petroleum Corp., China's largest oil company, hopes to hold talks in Iraq in August with the country's energy authorities aimed at reviving a major energy project there, a senior CNPC official said.

A team of CNPC negotiators is waiting in Jordan and may visit Iraq in August if local security improves, Tong Xiaoguang, a CNPC adviser told Dow Jones Newswires.

In 1997, CNPC signed an agreement with the Saddam Hussein government to develop the Ahdab oilfield, south of Baghdad. Ahdab has 600 million tons of oil reserves, according to Tong.

The new energy authorities in Iraq have "frozen" the project because they say CNPC didn't fulfill the contractual obligations by delaying the field development.

CNPC delayed work at Ahdab because Iraq was under United Nations sanctions, Tong said, adding: "But the project is not yet dead."

In addition to the planned Baghdad talks, CNPC is also trying to revive the project through "diplomatic channels."

Tong said it is very likely the new Iraqi energy authorities would allow CNPC to develop Ahdab. He pointed out that the field's oil reserves are relatively minor compared to other reserves in Iraq.

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